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Rapid Results Method

“When Not To Trade”

By Russ Horn

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When NOT to trade.

I find that even though there are a lot of great trading opportunities in markets that are moving very nicely, many traders are adamant about trying to trade markets that are very poor for trading.

Here are some tips when not to trade:

1. When the moving averages are very close together and moving sideways.
2. When the candles on your chart are moving sideways and have no definite direction.
3. When the DPI has narrowed and is moving sideways.
4. When there are very recent, very large candles, often there will be a pullback.
5. When the candles are very “wicky”, lots of larger than average upper and lower wicks.
6. Outside of the London session when trading 15 minute timeframe or less. The AUD pairs can move during the Asian session, but don’t automatically assume that they will.

When we see any of these conditions, a trade from here becomes more of a gamble. You are gambling that the trade you are taking is going to be the one that breaks out of the funk the market is in.

Ideally, you want to see the market start moving before we even consider trading. Until there is a return to the higher probability flow that market can offer, we would like to preserve our capital, play it safe and sit on our hands.

I would happily miss a poor setup that works out than take a risky trade. Your account is hard earned and deserves that kind of respect and attention.

Remember, trading is a business, and you want it to be as low risk as possible. Knowing when not to trade is as important as knowing when to trade. Not making money is better than losing money.

1. When the moving averages are very close together and moving sideways.

Below is a great example of a market that is very undecided and moving sideways.



There are several reasons why a market would do this. Often we see this in the “off hours” when the market no longer has the momentum to move it in either direction.

Other times we will find this after a large move and the market is in a period of rest or consolidation.

Taking a trade immediately after this sideways market is very risky as the market will want to try and move back into its sideways pattern. The first move outside of this pattern can be a “fake breakout”. We want the market to resume a better flow before we begin to trade again.

2. When the candles on your chart are moving sideways.

Below is an example of a market that is moving sideways.



There are a few ways to tell if a market is moving sideways, but you can see it with your eyes... it looks like it's moving sideways.

In a sideways market, there will be little fluctuations up and down, but the market will usually return to a "middle ground". The nature of this sideways market is going to cause some false signals from the system, but visually, the market has not left the box, so it's still moving sideways, any signal from here is not to be taken.

Don't be in a hurry to take a trade here, even when there is a signal.

3. When the DPI has narrowed and is moving sideways.

Here is an example of the DPI moving sideways and being very narrow.



You will find that the DPI will reflect a sideways market. In the example above, you will see how the DPI is very narrow and moves back and forth around the 0 line. It will move, but it won't be much.

The separation between the Lead and Follow line never widens significantly and the Histogram color will easily swap from yellow to red. We want to wait for the DPI to widen and for the market to move in an appropriate manner.

It's important to note that the DPI will occasionally narrow in regular market conditions, but it will not stay that way.

4. Very recent, very large candles.

Below you can see some larger than average candles.



Large candles are again a visual distinction. It will depend on the length of the candles that have come before it. When you have a series of candles that are around 15 pips in length, a candle that is 35 pips becomes a little larger than we would like.

A large candle often means a pullback is coming. In this choppy market, when there is only a finite number of pips any move is likely to make, a large candle means that the market has probably used most of its momentum to form the entry candle... this leaves little or nothing left for you.

In addition to leaving nothing for the trade, the large candle will require a larger than normal stop, which in turn means a larger than normal take profit.

5. When the candles are very “wicky”

Below you see a section of the market where there are long upper and lower wicks.



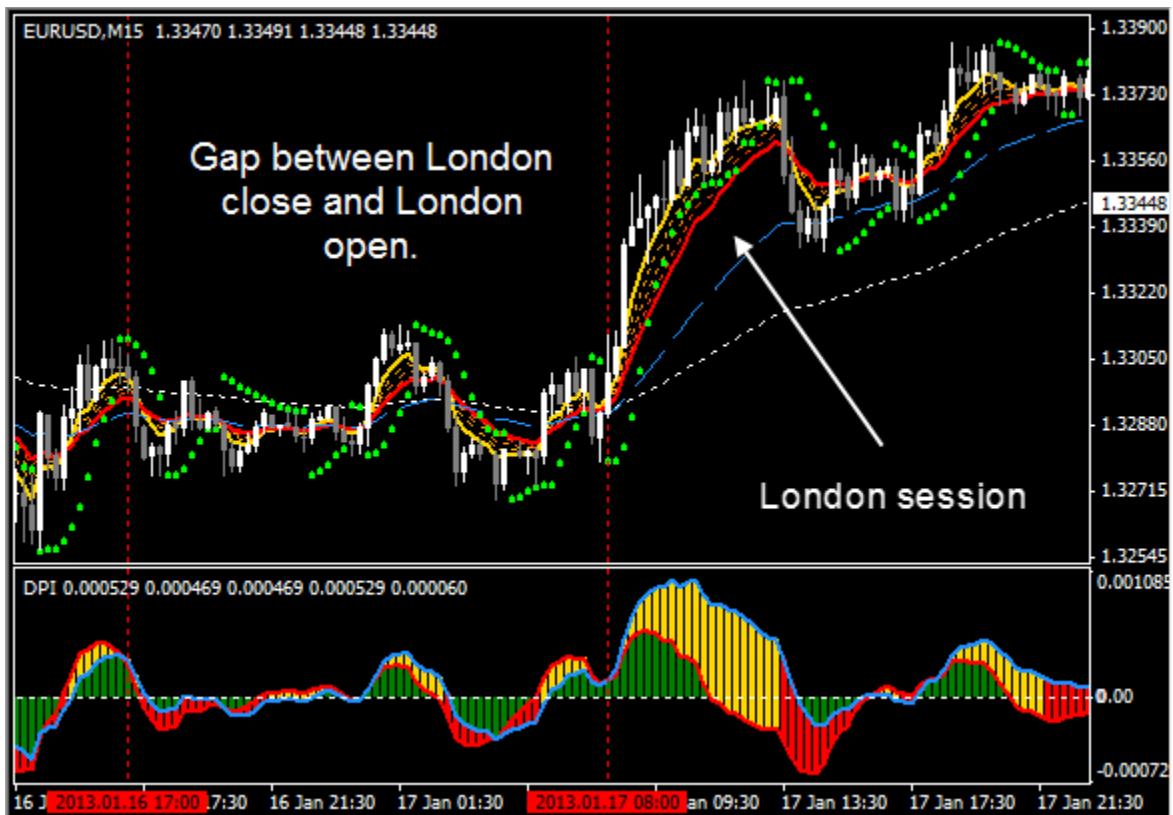
Of course you will see wicks on candles everywhere you go, you will see them all the time. What should raise a red flag however is a series of candle wicks all in a row.

They do stick out, they look like a kind of centipede. What this means is not so much a period of contentment, but a period of war!

The Bulls and the Bears are competing for the edge, the market is desperately looking for a direction. The Bulls and the bears are pretty evenly matched, but the outcome of this war is not easily predicted. There is so much effort in this conflict that it can break out in either direction, no matter what the indicators are saying.

6. Outside of the London session when trading 15 minute timeframe or less.

Here you can see the lull outside of the London session.



Above you are looking at a chart of the EUR/USD, but this is going to be common with most currency pairs. The gap after London closes and reopened for business again is a period of slow, unmotivated movement.

Of course there will be some movement, it's difficult to stop it all together, but it won't have much follow-through or conviction. After London closes, New York remains open for a while, but with no one to trade with, very little trading happens. As a result, there is very little movement. This makes it hard to trade with any kind of accuracy, and if you are looking for the market to move a great deal to hit your Take Profit, you will usually be disappointed.

I hope this helps you to better determine when not to trade and when to trade.

I don't want to scare you off from trading or make you paranoid, but It is a good idea to know when your trades:

1. Might not have the potential to reach the targets you are looking them to get to.
2. Could go in either direction, no matter what the trend is telling you.

You can continue to trade, but in these instances, you want to understand the risk you are taking.

Russ